

The Social Radars

S2: Patrick & John Collison, Co-Founders of Stripe

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Jessica: I'm Jessica Livingston. And Carolynn Levy and I are The Social Radars. In this podcast, we talk to some of the most successful founders in Silicon Valley about how they did it. Carolynn and I have been working together to help thousands of startups at Y Combinator for almost 20 years. Come be a fly on the wall as we talk to founders and learn their true stories.

So today, we are here with Patrick and John Collison, the co-founders of Stripe. I am so excited to have you guys on. Welcome.

Patrick: Good to be here. Thanks for having us. And Jessica, I think you have the best background of any podcast that I've seen.

Jessica: Thank you. It's my home office. Gary saw it, and I think he said it was epic. We're really excited to have you on the show today, you guys. And Carolynn was actually asking before we got started, how we first met you guys. And I'm going to go way back, and I'm actually going to ask Patrick. I think Paul and I were the first people you met in the startup world. And that was because, as a teenager, you were a Lisp programmer, and you were emailing Paul with questions. I'm going to have you tell this story, but the rough story is you were emailing Paul with questions, and he didn't even realize you were a kid. Your questions were so sophisticated that-

John: It's literally The New Yorker cartoon on the internet, "Nobody knows you're a dog."

Jessica: Exactly.

John: Or a teenager in Ireland.

Jessica: They didn't know he was a teenager in Ireland. Can you take me back to when you first met Paul or connected with Paul?

Patrick: Yeah, so I'd been emailing Paul for some period of time. I guess I learned Lisp when I was 13 or 14. And then at some point, I guess I was maybe 16, I was visiting the US for the first time. Maybe it's the second time, whatever. But one of my first times in the US, certainly my first time in Boston. And so I emailed Paul saying that I'd be in Boston, would love to meet him if possible. And he agreed, and so we scheduled a meeting at Algiers on Brattle Street.

Jessica: Yeah.

Patrick: Maybe we'd agreed to meet at two o'clock or something like that, and he showed up at two o'clock, and he ran in and he was kind of a bit ruffled and disheveled. And I don't know, something was clearly going on. And he said, "Patrick, I'm so sorry, but something's come up. Can you wait here, and I'll come back?"

Jessica: What was it?

Patrick: And so I'd been there just quietly reading my book. And for me, this was a big deal, I finally get to meet Paul, so I said, "Sure." And I have no idea, I never learned what it was. But so he ran out, and then he appeared again, maybe it was two hours later. And I had a good book, so it was totally fine. Algiers is not a bad place to read. And so he came back, and then we had a really good conversation for two hours or something.

Jessica: How old were you, again? Tell me, roughly-

Patrick: 16, 16.

Jessica: 16, so it was ... Or sorry, it was 2003, or something?

Patrick: Oh, God. It would've been 2005. 2005.

Jessica: 2005, okay.

Patrick: Yeah.

Jessica: You're 16 years old, you met at the Algiers. You had coffee and talked about Lisp and stuff. Okay.

Patrick: Yeah, yeah. Maybe my memory is wrong. Maybe it was 2006. I'm pretty sure it was '05. Anyway, we chatted for two hours. And then I think because he felt guilty about keeping me waiting for so long, he said, "Well, why don't you just come back for dinner?" And I was in secondary school, high school in Ireland at the time, and I was telling him about trying to get to college in the US and so on. And so he invited me back for dinner, and he invited RTM, he invited Robert Morris to tell me about how to apply to MIT, and all the rest. And so that's when I met you for the first time, when I was this strange teenager being hauled to dinner at your house with no [inaudible 00:04:08].

Jessica: Yeah. Oh. You stayed for dinner, and RTM was there. And were other people there?

Patrick: I think Aaron Swartz was there. And I remember that because he showed me ... or we were talking about Google Maps, which I guess had launched not that long before. And I had a 17-inch PowerBook, and Aaron called my 17-inch PowerBook the SUV of laptops, which especially being Irish, I took-

Carolynn: Savage.

Patrick: ... took plenty of offense at.

Carolynn: So that had to be 2005 then, if Aaron Swartz was there. Because as we've mentioned in the Reddit episode, Aaron was in the very first batch.

Patrick: Right, right. Okay, yeah.

Jessica: Because I remember meeting you in Paul's kitchen. So I must've come home from YC or something, and been like, "Oh, hey. Who are you?" And then you were introduced. Now, were you visiting to apply specifically to MIT? Because I know you went there.

Patrick: I had two years left in high school, or in secondary. And I'd somehow gotten into my head that, "Well, maybe if I applied to ..." So you couldn't apply to university in Ireland early. You sort of had to finish all the things on the normal schedule. But American colleges didn't seem to care as much. And maybe they're also confused by the international system. They don't even know whether you'd finished or not. And so I thought, "Well, maybe I can go to college sooner if I apply to college in the US." And so yes, I was coming out to visit a couple of schools as part of this scheme to compress-

John: It's a real galaxy brain way to simplify matters. It's like, "Oh, don't worry, I've simplified it down."

Jessica: Why were you in such a rush though? Why did you want to start university early?

Patrick: I can't remember, to be honest. I mean, I think it seemed better, I guess.

John: I think there were songs in Hamilton about this.

Jessica: So you can't remember why you wanted to fast-forward through secondary school and go to university early, but that's what you were doing?

Patrick: Yep.

Jessica: Okay. So that's where we met John. I don't remember when I first met you. Do you remember?

John: Patrick will have to help me reconstruct. I don't think we ever met during the [inaudible 00:06:19] days, actually. Is that right, Patrick? And so it would've been during the Stripe days. I remember we came over to your kitchen in Palo Alto. It's always the kitchen, for some reason.

Patrick: I remember that meeting. I don't know if it was the first meeting or not, but I remember it because when Paul saw you ... again, I don't think it was for the first time, but ... Well, you can describe that interaction.

John: Yeah, it must've been our first time meeting, because Paul looked at me and said, "Wow, you have such criminal eyebrows." That was Paul's first impression. I think my eyebrows are pretty normal.

Carolynn: Have you been obsessed with your eyebrows ever since though?

John: Exactly. And that started my long battle with eyebrow insecurity.

Jessica: No, he's so bad. He always-

John: And I'm struggling to this day.

Jessica: He always says these things that ... he observes everything, but then actually says it. So your criminal eyebrows notwithstanding, I remember the story was that you came over to the US. Your mother dropped you off at the airport as an unaccompanied minor, and you dressed wearing a striped T-shirt, shorts and knee socks pulled up, so you looked super young. What was the story behind that?

John: I think that's Paul, again, maybe starting to embellish slightly. No. Again, this is all going back to ancient history, Automatic days, where-

Jessica: Yeah.

John: Well, I don't know. Should we context set Automatic for the listeners? We're assuming a lot of knowledge here.

Jessica: Well, this is what I'm leading up to. We're going to get in ... We're doing the Automatic, but I just wanted to know if that was the first time we met you, when you came as an unaccompanied minor.

John: I see, yes, yes. Yes, it's your podcast. I've tried to be, taking over the flow. But basically, during the Automatic days I kind of briefly ... dropped out is too strong a word. Took some time off at secondary school. Patrick and I had an extremely understanding principal, a really fabulous guy who's sadly since passed away. But he allowed me to kind of take six months off secondary school, and so I came out to the US for the duration of that. And I guess I was 16 at the time, so I was traveling as an unaccompanied minor.

Jessica: Starting a startup, traveling as an unaccompanied minor. So was the striped shirt and knee socks not true?

John: I mean, I dressed as a 16-year-old would've dressed, which is probably a t-shirt and shorts.

Carolynn: So the knee socks, the knee socks-

Jessica: But you did not-

Carolynn: [inaudible 00:08:49] controversial.

John: I don't-

Patrick: It would've been difficult for it to have been a Stripe t-shirt, given the chronology here.

John: Exactly. But no, I think the knee socks are Paul's embellishment. I did not need any help looking young at the time, I'll tell you that.

Jessica: Okay, so you didn't have gray hair back then. Not until you were 18.

John: I started going gray fairly young.

Carolynn: Let's stop triggering insecurities here for John.

Jessica: Okay. Okay, sorry. Poor John. Okay, so I do want to talk Automatic. So what I'm going to explain for the listeners is that, in winter 2007, we funded a company called Boso, spelled B-O-S-O.

Carolynn: Boso, Boso.

Jessica: Founded by-

Carolynn: I was corrected so many-

Jessica: Boso. Didn't they call it Bozo? And we're like, "That's the clown guys," and they're English, and they had no idea what we were talking about.

Carolynn: I just ...

Jessica: Was it pronounced Boso?

Carolynn: Harj had to correct me so many times.

Jessica: Well, however it was pronounced, it was B-O-S-O. And it was founded by two cousins, Harj and Kul Taggar. And Harjeet is a partner at YC, and he was actually one of the first people Y Combinator ever hired. But we funded them in 2007. How did you guys connect? What happened?

Patrick: So we started a company called Shuppa in ... I mean, saying we started a company sounds very self-aggrandizing. We stopped attending our formal education and started writing code all day in early ... I guess, not that it really matters, but I guess, yeah, it must've been the beginning of 2007. We got a tiny little office in Ireland. And yes, this is the period John was referencing, where he stopped going to school. And Shuppa was the Irish for shop. And the idea was to build, basically, a better version of eBay. I think this is an idea that a lot of teenagers or young people are drawn to, where it's obvious that ...

Well, you don't have a whole lot of money, and so used items and secondhand goods, and all the rest, hold a lot of appeal. And your two main options are Craigslist and eBay, and neither of them are that good, both feel really stuck in the '90s. They haven't really changed since then, and so do a better version of that. Seems like a pretty obvious thing.

And so yes, Shuppa was basically our independently derived or conceived version of Boso. And this is one of the classic attractors in the startup space. And so anyway, we started working on that. We applied to YC. I guess it must've been for the summer '07 batch. And Paul responded and said, "Hey, you should talk to these Harj and Kulveer guys."

And so I went to London to meet with them, and we kind of hit it off, and saw the same logic that I guess you guys did, where it was essentially the same idea. And they were slightly further ahead, and there was this kind of complementarity, where we were sort of little code gremlins, and they were these charismatic Oxford graduates, so we decided to work together.

Jessica: Okay. And were you in Canada or something? Or where were you guys working? Because I know you got acquired a few years, the next year, by Live Current. But where were you guys working? Was it distributed, or were you all working together?

Patrick: Like a lot of early stage startups, I guess it's complicated, and I don't know if the details are that interesting. But basically, we spent the next summer in San Francisco, where I guess they were in the process of moving to. And I mention that in part because it yielded some of these formative or sort of memorable, vivid experiences, like the early Y-scraper.

Jessica: Oh, gosh.

Patrick: And so I remember, for the first couple of days, we stayed with Robby Walker-

Jessica: Oh, yeah.

Patrick: ... who started ... Well, I guess, first it was Zenter, the presentation company, and then Greplin with Daniel Gross, and he now runs Siri at Apple.

Jessica: Yes.

Patrick: So we crashed on his couch. And I remember the Weebly guys were there, and Kyle Vogt I think was there-

Jessica: Oh, yeah. [inaudible 00:12:59]-

John: Oh. The Justin.tv crew nearly got evicted.

Patrick: Justin, of course, was doing Justin.tv-

Jessica: Dropbox.

Patrick: Yes, yes.

Jessica: Everyone was there.

John: In fact, did Justin get evicted for all the Justin.tv antics?

Patrick: I think that's right, or it sounds right, at least. So anyway, we were in San Francisco that summer. This is our summer of '68, or whatever, with all these personalities and characters. And then because of the difficulties getting a US visa, we ended up spending a bunch of time in Canada, in Vancouver.

Jessica: Where Kulveer was from, I think. Kulveer lived there.

Patrick: Exactly.

Jessica: Okay.

Patrick: Yeah, yeah. And also, we used Smalltalk for Auctomatic, which is-

Carolynn: Smalltalk.

Patrick: We could do a whole podcast on-

Carolynn: That's a harken back to the Trevor thing.

Patrick: We could do a whole podcast on what-

Jessica: Yes.

Patrick: Yes, indeed. So there were three Smalltalk programmers in the world, Trevor, me, and this guy, Avi Bryant, who was also based in Vancouver. And so there was also a linguistic reason to spend time there. Okay. A serious point, perhaps, apart from random reminiscences, is we shared an office with Avi Bryant and his company, it was called Dabble DB, in Vancouver. And there was a third project sharing that office. It was this guy, Grayden Hoare, who at the time was creating Rust, the programming language.

Jessica: Oh.

Patrick: Which is maybe the most successful programming language that's been started in the last decade. And so one of the strange learnings of my adult-

John: Patrick, don't tell PG.

Jessica: Yeah.

Patrick: Right. One of the strange-

John: That's real offensive.

Jessica: He's gotten you back for the eyebrow comments.

Carolynn: Yeah, I was going to say.

Patrick: But one of the strange, I guess, experiences of becoming an adult is, when we were literally these kids, these teenagers just kind of running around, and the other people we were encountering were people like Robby, and Kyle, and Emmett, and Justin, and Avi, and Grayden, and so on, they were just random people working on their random projects. And now, so many of these projects, and indeed people, have become so illustrious, and so many of these things have done so well. It's kind of hard to understand.

It seems statistically improbable, that somehow, they would all have ... not literally all, of course. But that so many of them would've become ... that the set of things that have worked out really well, kind of ex-post, would overlap so much with the kind of random people we knew 15 years ago. And I've often wondered why that's true. And maybe it's partly a testament to San Francisco, and the sort of clustering there. And I don't know, the density of friend networks or something, but just that's been a very striking phenomenon.

Jessica: Yeah.

John: Well, is there also something, I don't know, kind of like Burning Man? "It was better the first year I went. It was better back in the day," where it does seem like those early YC batches, even the ones before we were in the 2007, 2008 batches, there was some really magic talent density going on there. It was quite striking.

Jessica: It was people who just really wanted to start startups and weren't just doing it-

Carolynn: For credentials.

Jessica: ... to be fashionable.

John: Exactly. Maybe, quite helpfully, YC was not as cool back then as it is now.

Jessica: Oh, for sure we weren't as cool, and we drew only people who honestly wanted to do this.

Patrick: Do you think that that's kind of helpful? In the sense that, if you could actually twist the YC cool meter and make it less cool, do you think that would be helpful, because you would kind of get better self-selection in terms of people who really want to do this for kind of intrinsic reasons, as opposed to for the status and stature?

Jessica: Patrick, that's a fascinating question.

Carolynn: This is something to talk about.

Jessica: We can both answer. What do you think, C-Levy?

Carolynn: Well, I think we've been talking about this for years. We worry about this as a credential for somebody. It's something that they just want to put on their resume, and they're absolutely not that serious about being nerds and really wanting to start a startup. And I don't know that we have great ideas for how to combat it. And I think we take a little bit of solace helping people start startups, even if they're not exactly the type of people we're talking about from the early days, is still a net good.

Jessica: When the movie The Social Network came out, honestly, there was a change that startups became more mainstream and cooler, and parents ... I mean, not your parents, because they already were supporting you doing these things. But a lot of parents thought, "Oh, okay. They're starting a startup," so it's good and bad. But I would love to dial back the ... I mean, I would hate to dial back the YC cool meter because it stunk. I'd only want the cool effect. Or in the early days, like only people who were serious about startups were doing it. No one wants ... because now we offer a lot more money too. Back then, it was like \$6,000 a founder.

Carolynn: It was called-

John: I think in our day, it was 15,000.

Carolynn: Well, that's because there were two of you. Yeah.

John: Sorry, 6,000 per founder. Yeah, yeah. Okay. That's some math work.

Jessica: Yeah. But actually, I wanted to ask, the whole Auctomatic thing. I think in addition to exposing you to a lot of this exciting stuff happening in San Francisco and other startups and founders, I think it also introduced you to what a startup was like, and probably gave you a lot of great hands-on information. But it also, I think, correct me if I'm wrong, you were working on payments at Auctomatic, right? So that must've been helpful, to see how painful it was.

John: Yeah, there's multiple things. You know the way people making something talk about building one to throw away? I do think all startups benefit from building one to throw away. Actually, someone recently told me about an investor, who extremely strictly as a rule, only invests in second-time founders, but will just not even take an introduction to a first-time founder. I thought it was interesting, where maybe a lot of people have this intuition that it's helpful to have some experience under your belt, especially if you're starting another company in the same space. But I've never heard of anyone who has such high conviction on that thesis that they'll actually throw away an intro to a first-time founder. So I thought that was interesting. And I think we certainly benefited from ... There's certain advice-

Patrick: We didn't build one to throw it away. We worked as hard as we could at Auctomatic.

Jessica: And you sold it for 5 million bucks, right? Or something.

Patrick: Yeah. Which, look, at the time, obviously was a life-changing amount of money for us.

Jessica: Yeah.

John: Yes. But there's definitely that value that comes from kind of having the experience. But then as you referenced as well, payments was interesting, because everyone at the time thought it was a solved problem and a crowded space, which are actually kind of slightly at odds with each other as reasons to not do it. But if you were to ask an investor, it didn't kind of strike them as the obvious good place to do it. And then also, there's all these kind of funny notions about it. Solved problem, crowded space, terrible business, commodity business, everything like that. So there were all these reasons that people, if they were kind of in a-

Patrick: Way too regulated, such that it's not even possible to build a business there.

John: Exactly. And so if people were, like business plan style, trying to find a startup idea, they wouldn't have arrived at this. And I think just having hands-on experience, both at Auctomatic and elsewhere, was very valuable. Whereas, certainly in Auctomatic, you have this software product that users like and they want to pay for, and you would think the hard part is building a software product that users like and are willing to pay for. That actually was very tractable, maybe thanks to using Smalltalk or something. And then the hard part was actually just collecting money for it.

But there were even other examples from ... Patrick, do you remember talking to SPES from Reddit at the time, and their plan for monetizing Reddit back in 2007 is, doing web payments was going to be way too hard, so they were just going to build an iPhone app and put it in the iPhone app store, and then sell it in the iPhone app store. But the fact that, easier than adding payments to the Reddit website was, build a whole iOS app and put it in the iPhone app store, and then have that cost 2.99 or something. The fact that that was the easiest plan they could think of for monetization suggested, "Oh my God, something is totally backwards and messed up in the state of payments."

Patrick: And they hired Ross Boucher, the founder of 280 North.

Carolynn: We know Ross.

Jessica: Ross Boucher.

Patrick: Yes.

Jessica: I love him. Okay.

Patrick: They hired Ross to build that iPhone app. And I remember running into Ross in Coupa Café, and, "What are you doing?" And he sort of described this story. And Ross subsequently went on to become Stripe's kind of ...

John: Third? Fifth-

Patrick: Fifth or sixth, or something employee. And so kind of bringing this dynamic and this story full circle. And the other experience-

Jessica: That's right.

Patrick: Right.

Jessica: Yeah.

Patrick: And the other experience we had that sort of really pushed us in this direction is, we ourselves built some iPhone apps to store a copy of Wikipedia on the iPhone, as ... This was a random side project after Automatic. And that project made more revenue than Automatic ever did. It wasn't a huge amount, but again, as college age students, it was a big deal for us. And we were kind of reflecting on, "Well, why?" And a lot of the reason was, well, it was so easy to monetize iPhone apps, and so hard to do this on the web. And so when we encountered this problem ourselves and noticed this dynamic, and then saw it so prevalently rooted in this startup milieu around us, it was just very thought-provoking.

Jessica: That is one of my questions. When was the Wikipedia app? Check. Okay. And you made a lot of money off of that though.

Patrick: I mean, it was-

John: A lot of money for college students.

Patrick: I was going to say, yeah.

Jessica: Yeah, college students.

Patrick: We made enough to pay for college.

John: Yeah. I have to pitch my startup idea, Patrick. I mentioned this, you didn't react to it, but offline LLM. Because basically, all these kinds of GPT-4 LLM style things, they are actually small enough that you could fit one on an iPhone. And none of the big guys will ever go do this as a feature, because it's a niche. But what we saw with offline Wikipedia is like, "Why would you want to browse Wikipedia offline?" It's like, "Well, there's a lot of small niche cases where you do actually want that." And so what we found was that it was a nice profitable niche. I think similarly, some startup founders should go build an offline LLM iPhone app, where you can ask GPT-4, or the equivalent, questions without cell service, and I think it'll end up a super profitable tiny little niche. I

Carolynn: I think that is an amazing idea.

Jessica: All right, you heard it here first. An RFP for-

Carolynn: Offline ChatGPT.

Jessica: ... offline LLMs from ... By the way, just for our listeners, SPES of Reddit is Steve Huffman, who we had interviewed before.

Patrick: And also, the first YC batch.

Jessica: Yes, also in the first YC batch. All right, so you did this Wikipedia app. I want to talk about how SlashDevSlashPayments, the first name of Stripe, came to be.

Patrick: Sorry, just before we get there. Does it not puzzle you that, I guess, Twitch and Reddit are two of the top 10 ... I mean, I don't know if it's top 10, but close to it, web properties in the world, and that both of those came out of the first YC batch, of how many founders?

Jessica: And Sam Altman was in that batch.

Patrick: Right. And so how many founders?

Jessica: Oh, gosh. There were only eight startups, and 20-something founders.

Patrick: So eight startups, and two go on to be top, I think, 10, or close to it, certainly, internet properties. Isn't that-

Carolynn: Mind-blowing.

John: Yeah, this is stuff of conspiracy theories.

Carolynn: Mind-blowing.

Patrick: Yes.

Carolynn: It's the Illuminati.

Jessica: It is mind-blowing. But the only way I can explain it, is that we started Y Combinator because we thought there was this huge need to make starting startups easier for younger people. And I think there was a huge pent-up demand for younger, especially programmers, to start their own companies. And for people who, again, were diehard. You only heard of Y Combinator if you read Slashdot, or you followed Paul Graham's essays, which were mostly about Lisp, right? So you were a hardcore programmer.

John: How did he distribute the essays in those days before Twitter? He wrote an essay, and then did he go to the window in Cambridge and kind of yell out, like a town crier, that there was a new essay? It was like, how did anyone find out about the essays?

Jessica: No, he did not.

Carolynn: That would be awesome.

Jessica: Slashdot, Slashdot.

John: He would've. Don't say that as if he wouldn't have.

Jessica: He wouldn't.

Patrick: Yeah, Slashdot is how I found him.

Jessica: Yeah, it was Slashdot, and then Reddit. So I think there was a hardcore group of programmers who really wanted to start startups, and so that's the only explanation I could think of, was why two have done so well. It is outrageous though, to think.

John: Do you think there's a similar ... so there was a clear talent allocation mismatch back then, where talented programmers who were young, didn't realize that they could start startups. And so they were going off to work for office space-style big companies, as opposed to just going and starting their own company.

Jessica: Absolutely.

John: Now, presumably, that talent misallocation has kind of closed. Where if you're in college, there's entrepreneurship societies, and there's other people starting companies, and so that is not as big a misallocation right now.

Jessica: Right.

John: Are there any other places where you see people going into the wrong domains, or kind of a major talent misallocation?

Jessica: God, John.

Carolynn: You're not supposed to ask us questions.

Jessica: Do I see any other talent misallocation?

John: Taking over their podcast.

Jessica: Maybe universities. There's something very broken with universities.

John: Oh, you're on the Peter Thiel wagon of-

Carolynn: Universities are broken, yeah.

Jessica: Well, don't say I'm on the Peter Thiel wagon, but I am on my own wagon of there's something broken. There's something that could be really fixed with a different type of university.

Carolynn: I agree with that.

Jessica: I don't know what the solution is, but that feels like ... What did you call it? Mismatched talent allocations. This is not supposed to be so highbrow, John. This is The Social Radars here.

Carolynn: Yeah, the word social is in here for a reason.

John: All right, back to the story.

Jessica: Back to the origins of Stripe, back when it was called SlashDevSlashPayments. What happened because John, you went back to university. Or you went to Harvard, John, after Auctomatic, right?

John: Yeah, I went back to ... Well, first, secondary school. And so Patrick was left working for the acquirer of Auctomatic, whereas I managed to wriggle out of that duty, due to school, and then went to university.

Patrick: You had a note from the teacher, "Must [inaudible 00:28:08]."

Carolynn: Gap year over. School gap year over.

John: Exactly. "John cannot work for your company. He's a very naughty boy." But so yeah, back to school, and then went to college. And the funny thing is when I was going to college, you have to remember that Patrick had already dropped out of MIT once at that point, for Auctomatic. He since went on to drop out again, and he's kind of got the honor of ... some people have multiple degrees, Patrick has multiple dropping outs.

And so as I was going to university, our mom knew that I was in a high risk population, you know what I mean? Where there was definitely some family history of a condition here. And so she said to me at the time, "Okay, but if you're going to college, you have to go for the four years. You got to actually go do this, as opposed to fiddle-sticking around."

Patrick: "Follow the wayward ways of your older sibling."

John: Exactly. And I said to her, "Yeah, absolutely. Will do. No, I'm fully signed up for this, four years of college, very excited for it." And to be clear, I was. That was a very truthful statement at the time, where that was really by intention. Anyway, that was August, 2009 when I was going off to college. And we wrote the first lines of code for Stripe or SlashDevSlashPayments in October of 2009, which is two months later.

Jessica: Nice.

John: And so I really did intend to stay in college, but-

Carolynn: You lied to your mom.

John: No, I didn't. That's the thing. It was totally honest.

Carolynn: You were very careful to say, "At the time, I told my mom the truth, I was excited to go in August."

John: I really was. And so that's when we started working on Stripe.

Patrick: And actually, well, two points in that. One, just, it's funny since you mentioned our first name, SlashDevSlashPayments. I think maybe subconsciously, maybe unconsciously at the time, I don't know, that was probably inspired by the name Slashdot. Slashdot is this kind of obscure Unix reference, or not that obscure if you're into Unix. And SlashDevSlashPayments is the same kind of joke, so there was, I don't know, some lineage there. But then secondly, part of the reason I know that we started writing that code at the end of October '09, is it was the weekend of Startup School '09.

John: Oh, yeah.

Jessica: Oh my God.

Patrick: Or just after. Where John and I, kind of on a lark, came out to it. And we're getting [inaudible 00:30:37].

John: See? This is the dangers of Startup School. You don't realize that you're ...

Patrick: Exactly. John was on the straight and narrow. [inaudible 00:30:46]-

John: Exactly. Here I was, living an honest life of a student.

Patrick: Exactly. And then we were chatting after Startup School. We'd been batting around this idea of a payments company for a while, and had been discussing with others, and trying to figure out how to pursue it and so on. But I kind of decided, "Well, I don't know, let's just do the college thing." But then somehow, it was after Startup School, we said, "Well, no. Let's just give it a crack." We can go back to the Git history, but we started-

John: October 11th.

Patrick: ... writing the [inaudible 00:31:16].

Carolynn: Oh. John knows the date.

Jessica: Wow.

John: Do you remember who spoke at Startup School, '09?

Jessica: Oh, 2009. I was thinking, who spoke that year? I'd have to look it up, but do you remember?

Patrick: I think Chesky did.

Jessica: But we funded Chesky. There's no way he could have spoken.

Patrick: Really, no? Okay-

Jessica: Because we funded them for winter 2009. And by the way, Chesky was at Startup School 2008, because that's what inspired him to ... Well, partly-

Patrick: Oh, okay. Okay, then I'm misremembering. But yeah, if you go back and look at who spoke at Startup School October '09.

Jessica: Okay. Oh, gosh. That is so funny. By the way, just put a pin in this. I'm going to be asking you a question about your mother. And then I'm also going to be bringing up a story that I have printed out here from 2012 Startup School that I was going to read-

John: Oh, yeah. Mark Zuckerberg spoke at Startup School 2009.

Jessica: Who?

John: Mark Zuckerberg spoke. I just-

Carolynn: Oh, yeah.

Patrick: Really?

John: Do you remember? I remember, there was a big crowd around it.

Jessica: Oh, that might have been ... I think that was the first time he spoke. I think it was at Kresge Auditorium, and he got in trouble for saying something like, "Oh, I only want to hire young people at Facebook."

John: That seems like ...

Patrick: Oh, I remember that controversy.

Carolynn: [inaudible 00:32:24].

John: Well, it was-

Jessica: Do you remember that?

Patrick: Yeah, yeah, yeah. Yeah, yeah.

John: You guys had a great ... You had Greg McAdoo, you had Jason Fried, you had Tony Hsieh, you had Biz Stone and Evan Williams, and Mark Pincus.

Carolynn: Wow, that's quite a lineup.

Patrick: Good lineup.

Jessica: Oh, that's a good one. That is quite a lineup.

Carolynn: I think Mark Pincus-

Patrick: You can see why someone would've been motivated to start a startup.

Carolynn: Yeah, exactly.

Jessica: Okay. So let's try for the third time, SlashDevSlashPayments origins. So you did the line of code, but were you thinking, "Hey, let's solve this problem, because we know there's a huge opportunity out there"? Or were you like, "We think we want to start a startup"? What was going on through your head?

Patrick: Well, one of the really ... I mean, we kind of described the app store inspiration. The other line of thinking that went into it was Amazon EC2 launched, maybe it was '07, thereabouts. But actually, EC2 was really clunky in the beginning. And I don't know, I didn't find it that captivating. The service that did launch around then was one called Slicehost, which was another of the really early virtualized hosting providers. And part of what was interesting about Slicehost was, before there was this dichotomy in web hosting, you could either have your own physical servers, and manage them and deal with the hard drive failures in them, and the UPS issues, and all the rest. I remember literally racking servers for Auctomatic, which is ... I feel like I'm describing walking uphill to school both ways.

Carolynn: In the snow.

John: [inaudible 00:34:02].

Patrick: But this was only 2007. Yeah. In fact, I remember the data center, whatever, some aspect of the power supply failing. And I didn't have a car, and so my girlfriend of the time driving me there at 2:00 AM to fix it.

Jessica: Oh, no.

Patrick: So that happened. And then Slicehost launched not that long later, and I remember using it for the first time, '08, something around then. And so anyway, as I was describing, you had the dichotomy, the dedicated servers, and then you could have shared web hosts, where basically you get a folder on this shared server, but you had very limited control over it. And so if you wanted to use some different programming language or database or whatever, you basically couldn't. You were kind of limited to the software that came installed on that server from the provider.

And so Slicehost, and EC2, and these new virtualized hosting providers basically provide the best of both worlds, where you could set it up instantly, they would deal with all the hardware and the arcana and logistics around that. But you had complete control over

the server, and you could install whatever software you wanted, and really sort of treat it as your own. I remember when I first used Slicehost, it was just so obviously the right answer. And I wasn't thinking in terms of IT transformation and market [inaudible 00:35:31] and all this stuff, but it just viscerally apparent that this is going to be the future. And sure enough, cloud computing has been one of the most important structural transformations in technology over the last 15 years.

And so in payments, you actually had the same bimodal split, where you could get a merchant account. This is like your dedicated server, where you'd go to the bank and you fill out the paperwork, and it's in Latin, and you wait for approval, and all this really high overhead stuff. But at the end, you do get a lot of control and a first class experience from a customer's vantage point. Or you could go to a shared web host, so to speak, and maybe that's PayPal or Google Checkout, or some of these providers like that that existed at the time, and you had very little control. Usually, it involved bringing your customers to some other website, and maybe it was difficult to do recurring payments, or to store the credential on file, or whatever, but it was at least easy to set up.

And so the idea or the way we framed it to each other was, what if we did Slicehost, but for payments? Trying to kind of bridge this binary. And we can get into how we got to launch, and the two years it took and so on, but the first product that we launched was a really low level API. So in that sense, you had complete control, but that you could set up instantly. And actually, the URL for Stripe control panel was `manage.stripe.com`, when we launched. And the service is, in fact, still called Manage. And the reason it's called Manage is because Slicehost's control panel lived at `manage.slicehost.com`-

Jessica: Oh, wow.

Patrick: And we were just really thinking in terms of Slicehost, but for money.

Jessica: Oh my God. So just quickly, this is a dumb question, I'm so sorry, but were you the first API company?

Patrick: Twilio, I think, preceded us.

Jessica: Okay.

Patrick: So I think-

John: But they're definitely, as Patrick said, Twilio I think was around earlier, and they kind of figured out a lot of stuff. But there was really no playbook for API companies at the time, and so we did have to figure out a bunch of stuff from first principles. And I sometimes joke, I think founders learned too many lessons about figuring things out from first principles, because they have to do it in the early days, and they get the reward of it works. And so they go figure out sales from first principles. It's like, "No, no, that's an extremely well understood domain. You can actually just use a lot of the industry best practices there."

But certainly, with building and kind of distributing an API product, and how you do API versioning, and what a great API product is, and stuff like that, there was no model to crib from.

Patrick: And I think the idea of building a product for ... I mean, I think there's two things wrapped up in Stripe. One is building an API-centered product, and also having startups as a core constituency. And I think AWS was the first company to do that really successfully. But back in 2009, AWS was not viewed as that successful.

Jessica: No.

Patrick: I mean, people thought it was cool and had some neat traction, but it wasn't viewed as this incredibly disruptive business model. And so I think there were many knocks that are legitimate, or at least ostensibly legitimate knocks on Stripe in the early days. And one of them of course was, "Well, you're serving all these tiny customers and companies." And as a descriptive matter at the time, that was really true. And there was sort of this open question as to, well, how far could one scale with that? To what degree would one capture their eventual expansion?

But Stripe, in addition to being all these things, was kind of a venture bet on, "Well, we think this portfolio of customers are going to grow a lot." And I mean, obviously in hindsight, that looks obvious. But if you looked at our customer roster in 2010 or 2011, you'd be like, "Well, I've never heard of any of these things. DrChrono, what?" And a bunch of companies like this.

Jessica: A lot of YC companies, right?

John: Oh, for sure, tons.

Patrick: Yeah, yeah. Absolutely.

John: I'll tell you actually a funny-

Jessica: Can I just ... Tell me a funny story.

John: Oh, it's just about this phenomenon. So in our series A pitch, when we went to do our series A, we were in private beta at the time, and we had a handful of startups on the platform who really liked it. And I remember there was this slide in our series A pitch that now really kind of stands out to me, where we were talking about, "And obviously, Amazon will never use Stripe, but there's just a lot of startups out there, and they'll grow up on the platform," and things like that. And we really genuinely believed that at the time, that there was kind of a clear ceiling to where Stripe would be useful, but there's lots of startups and they'll be more successful than you think.

And obviously, that's funny because now we started working with Amazon in 2017, I want to say. We've had a really successful kind of partnership for half a decade with them at this stage, and they're kind of increasingly using Stripe for more and more of

their expansion, and all these other enterprises who are, as they go ... River Island, in the UK. All these kinds are very well established old school companies, leaning on Stripe for stuff.

But in the early days, the thesis really was startups. And then we were surprised that on the upside, there were lots of other ... I think this is what lots of companies do, is that they start with some nugget of, they just get a handhold on the ledge, and then they expand from there. But there's no rewriting of history possible here, because again, it was literally in the series A deck, where we're like, "Oh, and all these big enterprises will not use Stripe, but there's lots of startups out there." That was our belief at the time.

Jessica: I love that you explicitly said, "Amazon won't use us, but all these little ones will."

Patrick: I'm realizing there's another company that we should give credit to here, and that's Heroku.

Jessica: Oh, yeah.

Patrick: They were-

John: And they were a real API platform company.

Patrick: I think they were first. Exactly. I think they were, certainly the first, YC API company that I'm aware of. And they really took developer aesthetics-

John: They were very high taste.

Patrick: ... very seriously. Very seriously. And those guys were a real inspiration.

Jessica: So Heroku was YC funded in winter '08. And I should interview them, because they did a lot of important things.

Patrick: Yeah, yeah. They're really special.

Jessica: But I need to say ... Sorry, I'm jumping all around. But I have to say, so PG was telling me that Stripe's documentation is a thing of beauty, and that Stripe really was always developed for programmers. So it appeals to the people within companies who are writing software, not A CTO who needs to check off the boxes. And he said, "A good API is well-designed, reliable, and well-documented. And Stripe is very famous for being fabulously documented." Did you do this to set yourselves apart, or were you building something that you yourself knew you'd want?

Carolynn: Or both?

Jessica: Yeah.

John: I think this is one of these things that has proven very important for the company, that was ... I don't know, in the early days, Patrick, would you call it an aesthetic matter, or just an intuitive kind of strategic decision? I mean, we called the company SlashDevSlashPayments, and so, built by developers for developers. I think we even played with some kind of version of ...

Patrick: That was on our first –

John: Exactly. So we just kind of decided that we were going to go with this. But I think we, again, landed on a deeper point, which is that the entire world is bottlenecked on software development ability and capacity. You know when you go try and subscribe to ... I actually went and tried to read something in The Irish Times, and it says, "You have to log in." And you try to log in, and it says, "Subscription not active." And you're like, "Okay, how do I fix this?" And it's just a complete dead end. And presumably, someone somewhere in the organization has thought about fixing this, but it's a big project, and we'd have to redo the systems, and it'd take two years, or whatever. And so it's not the idea of, "Oh, we should make it easier for people to subscribe." It's the fact that you can't reliably turn ideas into software well, as organizations of any size.

Patrick: Or quickly.

John: In a startup, it really matters, but in a large company as well. Often, there'll be an idea for, "We know we should fix the subscription flow, so that people stop dropping off," but it'll be two years to go and implement it. And the pace of software development really matters. And yet, then you might say, "Well, then of course, the payment companies for whom this is very strategic, they all take the API really seriously, right? And they all care about developer ergonomics." And the state-of-the-art at the time before Stripe was like, "Oh, no. Absolutely not."

Some business person would make a decision, based on a PowerPoint presentation, and then they would make the decision. And then afterwards, they would drop the 500-page PDF. Literally, at the time [inaudible 00:44:43] the PayPal documentation, onto the developer's desk and be like, "Here. You, go implement this." But you're kind of ignoring as a factor in the decision, how good or bad are the APIs? How fast will we actually be able to implement this? And so again, this was I think an intuitive thing for us at the time, but realizing that developer productivity, developer ergonomics really matter as a matter of business strategy for all these companies.

Carolynn: Yeah.

Patrick: Yeah, I think we had this empathetic intuition that we wanted people like us to have a less miserable time implementing, and managing, and maintaining systems.

John: That's a great way to put it.

Patrick: But as John says, the thing that has turned out to be true that we were kind of oblivious to, is that for such a large fraction of companies in the world, their ability to wrangle and

manage and manipulate software is becoming the fulcrum upon which their own future hinges. And so this question of how enabled developers are is not just this parochial concern of early stage startups or something, but actually this kind of foundational imperative for a very large fraction of the entire economy.

Jessica: Yeah. But you guys were ahead of the curve back then, doing all of this. Don't you agree?

Patrick: I think we were, but I would attribute a lot of it basically to luck. I mean, I think the fact that we did a good job of making it developer friendly and so on is downstream of the people we hired, and our own sensibilities. And even being really into Lisp and Smalltalk, that's this kind of orientation towards developer aesthetics. It was there for a long time. So I think we deserve some kind of ... I don't want to denigrate the efforts of people at Stripe early on by saying that that was just luck. But the fact that we chose this problem and this orientation in the first place, I think that that worked out so well, that that part was kind of luck.

Jessica: Okay. So I've met your mom, and I know what an amazing and determined woman she is. And I'm curious if you would be open to telling the story of her level of determination with your brother when he was really little, because I find that sort of fascinating. And if not, that's okay. But if you want to just take a leap of faith and say your mother's an incredibly determined person, did you learn that from her? Was she an example? Or is it in your DNA? Or what lessons did you learn from her that could be applied to being startup founders?

Because this just goes without saying ... and I think Carolynn, we shouldn't just assume the world knows this about the Stripe founders. But you two are the two most formidable founders I've ever met in my life. I would never bet against you, put it that way, ever. So where did you learn this from?

John: So [inaudible 00:47:37] our mom, the family is three brothers, Patrick, myself and Tommy, the youngest brother. All of us are out here in San Francisco. Tommy was diagnosed with cerebral palsy as a young kid. And the healthcare system at the time in Ireland, and kind of even now to some degree, you're a little bit left on your own, in terms ... I think everyone has had this experience with a condition, where the healthcare system is good at treating broken legs, but kind of an ongoing lifelong thing or something that's a harsh, diagnosed kind of thing, you really have to kind of on your own, and you're in charge of figuring out yourself.

And so Tommy had cerebral palsy, and our mom was trying to figure out, "Okay, what do I do? I'm told he's never going to walk as an adult," all this kind of stuff. And so she just ...

Patrick: Yeah. And then I think maybe just really to set the initial scene ... You're saying nice things about us being resourceful. There's this phenomenon of regression to the mean in genetics. And I think John and I are, by comparison to our mom, 60% as resourceful as she is. We really pale by comparison. So when Tommy was born, and I think she still has this letter somewhere, she was told that this son of hers, Ben, kind of a couple months'

age, would certainly never walk, and she would be lucky if he had any reasonable quality of life at all. And she just had this kid, and so that's the hand you've been dealt. But of course she, by her personality and nature, was sort of unwilling to and incapable of just accepting this at face value.

John: And just for clarity, Tommy has since gone on to a very successful career in tech. And he and I were biking the other weekend, and so all of the things that ... managed to prove all the doctors wrong. So basically, despite the fact that both our parents were running their own businesses at the time, she also took on the job of becoming a physiotherapist and becoming an expert in this stuff. She ended up getting a master's in cerebral palsy. She ended up writing two books.

Patrick: She discovered that the best clinic for treating this was in Budapest. And so in 1994, I think it was not long after

John: Not long ... Exactly, the wall fell. Yeah.

Patrick: Exactly, after ... Hungary used to be a communist country. We just moved to Hungary for a while, so that Tommy could get treated at this ... It was very Soviet. It was like, "Well, if something is stymieing your ability to walk, well, you've just got to try harder, and walk harder." And it turns out that for cerebral palsy in a significant fraction of cases, that's actually a pretty good strategy. And that with sufficient determination and effort, you can really get a long way.

John: But this has lit a fuse for our mom, where she wrote a book that was sort of the parents' manual for like, "Okay, you have a kid with cerebral palsy," which is again, the most common birth defect, really. And, you have a kid with cerebral palsy, what do you do? And previously, there was nothing between academic journal articles and WebMD, there was nothing in the space in between those. And so this is kind of a-

Jessica: Oh, God.

Patrick: This is her dedicated [inaudible 00:50:53] shared web hosting.

Carolynn: Oh, wow.

John: Exactly. This is a technical guide to parents.

Patrick: There's only medical papers on WebMD.

John: Exactly. And then I got lunch with her last week, and she was coming from work and going back to work. She's not successfully retired yet, where she's still doing a bunch of stuff. She's kind of publishing more books, and she's doing a bunch of cool stuff with the healthcare system in Ireland, where they're rolling out kind of better CP care. So anyway, just a lot of determination over a long time period, as you can tell.

Carolynn: That's a great story.

Jessica: Yeah, yeah.

Patrick: And so to your question, yes, I think that starting a company and all the rest is not easy. And as John mentioned, both of our parents did start companies, and so that certainly set some baseline of normalcy for us, or something where we didn't think-

Jessica: And maybe why they were so supportive, because they had done it themselves, kind of?

Patrick: Yeah, I think that must've been part of it. Yeah. But growing up, everything you grew up around seems pretty normal to you, for the most part. And so mom had been prosecuting that agenda throughout our childhood, it meant that ...

John: Yeah, I think you also pick up the subtle influences. And for example, we were talking earlier about The Social Network, and the influence of it on people starting startups. And there's maybe kind of a sheen on the startups today, where they're seen as this kind of shiny thing out of which you get some status and a good LinkedIn endorsement and everything. Whereas I think for us, it was probably helpful, as I look back on it now, just seeing the work ethic of everything they were doing, and the unglamorous work ethic, where you kind of get a sense of the one foot after another aspect of it.

Patrick: Yeah. Our dad ran a small little lakeside hotel for most of our childhood. And running a hotel, the hotel is kind of never shut.

John: You have customers there 24/7, yeah, unlike most businesses.

Jessica: Yeah.

Patrick: Exactly.

Jessica: Like your server going down.

Patrick: Exactly. So yes, the idea of having to ensure complete continuity in service, and knowing what it takes to get that, is also something that we grew up around. And again, it just seemed normal to us.

Jessica: Yeah. Paul actually told me ... So John, as you know, he just visited you recently in Ireland. And he came back and he said, "John sounded really excited and energetic about running a big company. I'm so impressed with him." I'm just curious, I mean, I know you definitely have the profile to be startup founders, but running a big company, John, do you like managing people? Because isn't that what so much of it is, at a company your size?

John: Yeah. Paul did have a very funny reaction, where he said something like, "So you actually like business," or something. Where I think for Paul, there's much more of the hacker mindset.

I think we get excited by building the Stripe product, and you just can't do that at a certain point with five people. And so even if kind of aesthetically, we might prefer that cabin in the woods kind of style of working, which I don't think we do, but even if we did, you just can't do a big global product that has tons of impact in that model. And I think Patrick and I actually find it fun. Again, I think just for ... I don't know. How would you characterize it, Patrick?

Patrick: I really like and have taken a lot of inspiration from Alan Kay, and obviously the Smalltalk thing and the GUI, all this stuff. But I also think a lot about the fact that the stuff they made at PARC was not directly taken into and made a big success in the world. It required Sun, through kind of Java, as maybe getting object-oriented programming into the world, and Apple, and Microsoft for the GUI and so forth, and so I've always ... With only five people or the cabin in the woods or whatever, one could sketch out the kind of infrastructure that we think ought to exist for the internet and paint a vision. But actually making it happen, to John's point, is intrinsically the task of a large collaborative, complicated and intertwined group of people. And making it happen seems to me to actually be the harder challenge in the world.

If you took a thousand people and asked them to kind of roughly design what some of this, in our case, internet infrastructure should look like, lots of other versions of this and other domains, I think lots of people can do a pretty good version of painting that vision. But I think, yeah, that this sort of scarce thing in the world is sort of navigating the maze of how to make that happen. And Elon, not to remotely imply a parallel between us and him, but just kind of talking about this phenomenon in another domain, lots of people thought that electric cars are important and inevitable, lots of people had that vision. But only Elon, for many, many years somehow had the capacity to actually realize it.

And so, I think John and I actually both do find tremendous interest in business itself. Every business is a kind of education in a sector, and a fissure of the economy that you probably don't know a whole lot about, and so on. So anyway, it is interesting. But the way I would kind of characterize the dynamic you're describing, it's not so much that we're interested in business per se, but I'm really interested in the question of, well, how do you translate the vision into reality? That seems like one of the most important, and scarce, and most poorly understood phenomena in the world. And I still feel like I'm learning a lot about how to do that well. And that, to me, is an interesting problem.

Jessica: And it energizes you, both.

Patrick: Yeah, for sure. Yeah, I guess everyone's journey here is idiosyncratic and personal. But John and I have this discussion every couple of years or something, and I think we feel, maybe if anything, more energized about Stripe now than six years ago or seven years ago, because ... I'm kind of arbitrarily choosing that. But during the super intense scaling periods, you're a bit like a cat that's been dumped in a pail of water, where you're just happy to still be standing. I mean, you're obviously pleased on some level that things are going well, but it's not day-to-day fun.

I remember the tremors of our servers, as they crept beneath the load. And we were understaffed, to address that, and all these things. Whereas now, I feel like we can

actually take a step back, and then go, "Well, where should we be? Which problems do we want to invest in or pursue," or whatever. And there's actually some degree of, we can exercise volitional choice in where Stripe goes, rather than just kind of hanging on, on the cliff edge, and hoping we don't fall off.

Jessica: Yeah. Yeah, yeah, yeah. Oh, I got to let Carolynn ask a question. But I also want to know, do you guys ever argue? You know each other inside and out, but do you guys argue ever?

John: We debate a lot of important questions, but I actually think we do a reasonable job of we don't argue or bicker, and we also try to not expose ... I think it'd be very bad for the company if people can go to one of us and get a different answer than the other, and so we try to also be pretty consistent in how we run the place. But there's definitely issues that we debate, but I don't think we do a lot of arguing.

Patrick: I don't think we've argued since the start. I can't think of one.

Carolynn: I was just thinking to myself, one of the things that I thought was ... a couple of people mentioned to me from the Paul Graham interview, was RTM saying, "Don't let YC be the last cool thing you do." Do you two ever have this, "Let's not have Stripe be the last cool thing we do"? Do you have those moments where you're kind of thinking, what happens in the next decade?

John: I think with Stripe, we have a very open-ended time horizon. We would be delighted to be running Stripe in 20 years' time, and I think we will be. But at the same time, I don't think we view it as the absolute sole thing that we will do. And for Patrick, you should tell them about Arc, or kind of mention that as an example, because ... And I think just-

Jessica: Yes, that's on my list.

John: It's almost like a stylistic thing for people, where in some cases, people go sequentially through the endeavors in their life. Where I think in our case, we have a few things running in parallel.

Patrick: Yeah. I wouldn't want Stripe's payments functionality to be the last cool thing that Stripe does. But I look at it more as within Stripe rather than Stripe itself, where it's like Stripe is going to keep doing all these awesome things and things that were not even on our minds when we sort of first ventured forth. And I think Stripe is building tooling for the global economy, so I don't think we're going to run out of neat things that we could do there.

Carolynn: Right.

Patrick: And then to John's second point, yeah, a thing that we launched, gosh, I guess almost two years ago, is a biomedical research institute called Arc. And anyone can read more about that Arcinstitute.org

Jessica: With your lovely wife, Silvana.

Patrick: Exactly. And with one of her colleagues, a guy named Patrick Hsu. And the basic idea of Arc is, biology has changed a lot over the last 50 years, and the kind of environment that is likely to be most propitious for and most effectively enabling of breakthrough basic science may look quite different to how things have been structured, say, since World War II. And so it's this kind of institutional structural experiment around, is there a better way to enable this breakthrough basic science? It's a nonprofit, unlike Stripe, not a startup, but we're really excited about it. And we've no specific plans, but maybe there'll be other Arcs, in the broadest sense, down the road as well.

Carolynn: So it sounds like the answer is, you're going to do lots of cool things in parallel and within Stripe. So it's a different kind of answer than PG's answer to that.

Patrick: Yeah. Maybe, I mean, there's probably a difference between investing entities and companies, or something. Because back to PG's conversation with John, I'm sure there's an infinite number of phenomenal things that YC could do, but maybe some of them would require hiring a thousand people. We'll see how Paul's desire to do that, or your collective desire to do that evolves-

Jessica: Gary's desire to do that now, Patrick.

Patrick: Right.

John: When you say it's a nonprofit unlike Stripe, I'm reminded of the time where Mike Moritz has been on our board since the 2011 investment, I guess, and been very helpful throughout the years. But I think he kind of is the kind of board member who pushes in a useful way. And there was one board meeting where, this is in the early days, after a particularly unimpressive performance in the quarter, he steps into the room and he says, "Yes, the Stripe.org board meeting."

Carolynn: Stripe.org. Again, savage.

Jessica: Oh, that's so harsh.

Carolynn: It's a subtle dig.

Jessica: Oh my gosh. Oh, man. Well, I realize we better wrap things up, because I know you guys have to get back to your day jobs. And I'm sitting here thinking, speaking of Moritz-

Patrick: So much business to be done.

Jessica: ... There's business to be done. And someday, we'll have you back on so we can ask the other questions. But I loved catching up with you guys. I had so much fun. Thank you for taking the time to do this. I can't even begin to tell you how proud I am of you guys. At this point, if we met in 2005, we've known each other for almost 20 years.

Patrick: Wow.

Jessica: Can you believe it? Yeah.

Patrick: Okay, that's pretty amazing.

Jessica: I know.

Patrick: I hadn't thought about it in those terms. And then maybe, just to just state the maybe implicit corollary of that, sort of through all these different things we've done, YC and you guys have been very deeply interwoven, and we're extremely grateful. And I don't think Stripe would've happened, and a lot of other parts of our lives that wouldn't have happened without it.

Carolynn: That's nice.

Jessica: Well, thank you. Thank you. So, great to see you guys. Thanks for coming on our show. We will hopefully catch up with you soon, hopefully in California.

John: See you. See you [inaudible 01:04:17].

Carolynn: Thanks, you guys. Great to see you.

Jessica: Okay, thanks guys.

Carolynn: Bye.

Jessica: Bye. Carolynn, that was so fabulous.

Carolynn: Yeah. It was another one where we just kind of laughed a lot, because they're really funny, and it's really fun.

Jessica: They were getting me laughing before we even started.

Carolynn: I know. Exactly.

Jessica: I forget what they were saying, but they were making me ... They're so funny.

Carolynn: Well, kicking off with the eyebrows. That set the tone.

Jessica: The eyebrows. Oh, Paul's going to be so bummed when people know about the eyebrow story, but I'm sure there are 50 other people who have a similar eyebrow story. Not the eyebrows, but some other-

Carolynn: Observation, Yes.

Jessica: ... physical observation that Paul says. And I'm sure-

Carolynn: "Your head is too large."

Jessica: Yeah. "Notice how large your head is compared to your neck," or something like that.

Carolynn: Yeah.

Jessica: Oh my God. Carolynn, did you love the Smalltalk reference? I had to ask you.

Carolynn: Yeah, that's where I was really ... That was another ... I was really going to laugh pretty hard about that, because now, Smalltalk is just inherently funny to me all the time. I don't even know what it is, and it's just funny.

Jessica: I know. The Trevor Vigilante.

Carolynn: Yes, yes.

Jessica: The small town, rewriting the Via website.

Carolynn: You know, the other thing I was thinking about, because Patrick mentioned his bike a couple times. I think they both mentioned bicycles. And do you remember when Patrick rode his-

Jessica: Patrick's a huge bicyclist.

Carolynn: Okay. Well, he rode his bike to my house. And I actually think that was the summer-

Jessica: What?

Carolynn: We were talking about the summer-

Jessica: From San Francisco?

Carolynn: No, from Mountain View. You were there. So John had a barbecue, and I'm pretty sure it was for the summer '09 batch.

Jessica: Okay.

Carolynn: So there was a barbecue, and we live in the East Bay, and the day was like a 95 degree summer day. And Patrick shows up hours after the barbecue had ended, because ... He shows up at our house. It's just hilly here, but he shows up, he goes, "Oh, yeah, I timed it, but Google didn't really explicitly tell me about the elevation." And he's like, "There were a lot of hills." And we're like, "Oh my God, there are so many hills, and it's 95 degrees out."

Jessica: Oh my God.

Carolynn: So I'm pretty sure we just had him go in the pool. And then John drove him home after. We fed him.

Jessica: That's incredible that he bicycled.

Carolynn: It took him over three hours to bicycle from Mountain View to the East Bay.

Jessica: I would think it might've taken him three hours to drive, if there was bad traffic.

Carolynn: Oh, that's a dig at the East Bay. No, it's not that bad.

Jessica: I know. Sorry.

Carolynn: It's not that bad, no. So anyway, I just kept thinking, I'm just picturing Patrick arriving at our house on this really hot summer day after cycling here from Mountain View, and being like, "Oh my God."

Jessica: And missing the party.

Carolynn: And totally missing the party.

Jessica: Missing the dinner.

Carolynn: Which was no big deal, but anyway, it was [inaudible 01:06:52].

Jessica: Oh my gosh. And I didn't get to read ... I have so many questions still from the ... One of the big things I didn't get to ask them was how they were able to convince banks and credit card company-

Carolynn: Oh, yeah. Yeah.

Jessica: ... financial institutions to work with them, when they're like 22 years old.

Carolynn: Yeah.

Jessica: And I have this email that I pulled up from the 2012 Startup School, I was giving a talk that year. And it says, I said, "Any stories about how hard it was for you doing deals with these big banks? Trying to come up with a good example of relentlessly resourceful, and I can't help but think of you guys."

Carolynn: Yeah.

Jessica: And they said, "Yeah, a few jump to mind. Going to meet the CEO of American Express at their global headquarters in order to convince them to work with us." And basically, the story ... I was like, "You actually convinced the CEO of American Express to work with you?" Question mark, question mark. And I even say, "I know, I'm Ron Conway right now,

with all my exclamation points." And then he said, yeah, basically their MO was to have a conference call first, so that the people wouldn't know how young they were.

Carolynn: Oh.

Jessica: And they'd be impressed by the product.

Carolynn: Yeah, yeah.

Jessica: And they basically told American Express, "There should be twice as many transactions happening with American Express than there are now, so we're just expanding the market for you if you were to work with us."

Carolynn: Yeah, yeah. Sure.

Jessica: And that resonated, and they met them in person. But that was their MO, to always have a call with the people before they actually met with them-

Carolynn: That's really smart.

Jessica: ... so they wouldn't judge them.

Carolynn: Yeah, so they'd have no preconceived notions.

Jessica: Yeah.

Carolynn: So they don't judge them right off the bat.

Jessica: Exactly.

Carolynn: Yeah, that would've been interesting to talk-

Jessica: But I always ... And I wanted to ask them. They basically pulled themselves out of County Tipperary in Ireland, rural, into this world of startups. They did that on their own. How did they do that? What advice would they have for other 15-year-olds who want to do that?

Carolynn: Did John ever finish Harvard? Did he drop out?

Jessica: I think he dropped out.

Carolynn: Okay.

Jessica: I think they both dropped out.

Carolynn: I mean, we were laughing about that tiny little window between, "Yeah, mom, I'm going to be totally into it," and then starting to write the code for Stripe. But actually, I don't think we ever closed the loop on that. Did he do both for a while, and gradually-

Jessica: Yeah, did he finish?

Carolynn: We could probably check on LinkedIn.

Jessica: Now I don't know. I think, I'll have to check, but I think he might've dropped out.

Carolynn: Yeah.

Jessica: Oh, gosh. I hope I'm right. But I don't know, I just loved the conversation because they're just so energetic, they're so smart, so thoughtful.

Carolynn: Yeah.

Jessica: And by the way, they are doing so many other-

Carolynn: Cool things, yeah.

Jessica: ... projects that are cool.

Carolynn: Yeah. I forgot about Arc.

Jessica: Like this whole Arc thing. And then they had the-

Carolynn: I knew about Arc and forgot, and so yeah.

Jessica: Do you remember the Fast Grants that they did during COVID?

Carolynn: I do remember that, yeah.

Jessica: Where they basically gave immediate grants for people who were coming up with ideas. I mean, they're just always doing things.

Carolynn: Yeah.

Jessica: Where do they get this energy? I don't know. But I want to bottle it up and use it for myself.

Carolynn: They get it because they're young, Jessica. They have the energy because they're in their early thirties.

Jessica: And they don't have kids. Meanwhile, right now, I have to go because I have to take my older son to McDonald's. I promised him. I'm like, "After the podcast, I'll take you to McDonald's."

Carolynn: Can't you DoorDash that?

Jessica: Oh, he's nagging me. What?

Carolynn: I said, can't you DoorDash it?

Jessica: In England?

Carolynn: I thought you could.

Jessica: They don't have that. They don't have it where I am.

Carolynn: Not in the boonies. No-

Jessica: Are you kidding me?

Carolynn: Well, for some reason, I thought-

Jessica: Not in the boonies.

Carolynn: I thought that when we were talking to Tony ... it must've been you were talking exclusively about Palo Alto, and not at all about your particular little corner of the UK.

Jessica: Oh, correct.

Carolynn: Okay, okay.

Jessica: Correct.

Carolynn: I mean, that makes sense, but-

Jessica: And when we come back to Palo Alto-

Carolynn: It'll be a ...

Jessica: ... the DoorDash account gets shut down for fraud, because he uses it so much. It's insane, so much junk food to eat.

Carolynn: Yeah, all right. Well ...

Jessica: Not enough time.

Carolynn: Definitely take your kid to go get McNuggets.

Jessica: Well, that was awesome.

Carolynn: Yeah, that was great. That was great. It was great to catch up with them.

Jessica: It was great to catch up with them. And just, again, they always instill me with a lot of energy, and make me feel like I could go out and run a marathon.

Carolynn: They are very inspiring.

Jessica: I love it.

Carolynn: I agree, I agree.

Jessica: All right. Well, I will catch you on the next one.

Carolynn: Sounds great.

Jessica: Talk to you later.

Carolynn: All right, bye.

Jessica: Okay, bye.